

Tesla, Inc.
TSLA NASDAQ

Hold	\$332.26 ▲ 0.42%	12M Price Target \$360.00	52-Week Range \$297.38 – \$498.83	Market Cap \$1.31T
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TSLA: Grinding Higher But Robotaxi Story Needs Proof

WHAT HAPPENED

- Stock is up modestly (+0.4%) but that headline number is misleading — today's volume is just 3.4M shares vs. the usual 25-30M, meaning this is an early/thin tape read, not conviction buying. The real story overnight is negative: a high-profile Autopilot crash involving 49ers coach Kyle Shanahan AND another U.S. safety recall — that's two regulatory headlines in one news cycle.
- Offsetting the bad news: Morgan Stanley reiterated that Tesla just needs "Robotaxi flywheel proof" to re-rate higher, and Musk's \$16.8B Terafab (chip fab) bet is getting attention as a long-term AI moat. So bulls have a story, bears have fresh ammo, and the stock is basically shrugging.

WHY IT MATTERS

The Autopilot scrutiny matters more than people think right now — NHTSA (the federal auto safety regulator) has been expanding its Autopilot/FSD probes, and every celebrity crash gives regulators political cover to demand design changes or forced disengagements. That's a direct threat to the robotaxi thesis, which is the ENTIRE reason TSLA trades at ~140x earnings instead of 15x like a normal automaker. Meanwhile, the stock is sitting at just 17% of its 52-week range (\$297-\$499) — translation: it's much closer to the yearly lows than highs, so sentiment has already de-rated from the euphoria peaks. The setup here is coiled: either robotaxi data starts proving out in Austin/other cities (stock rips), or safety headlines keep compounding (stock breaks \$300).

POLICY & POLITICAL WATCH

The big overhang is the rollback of the \$7,500 federal EV tax credit under the current administration's energy policy pivot — that credit was a direct demand subsidy for Tesla, and its expiration is already pressuring unit economics. Watch the NHTSA docket: any formal rulemaking that requires driver-monitoring hardware upgrades on existing Teslas would be a real cash hit (recall costs) and could delay unsupervised FSD approval. On the upside, Trump-era tariffs on Chinese EVs and batteries actually HELP Tesla domestically by keeping BYD and other low-cost Chinese rivals out — that's a quiet tailwind nobody's pricing in.

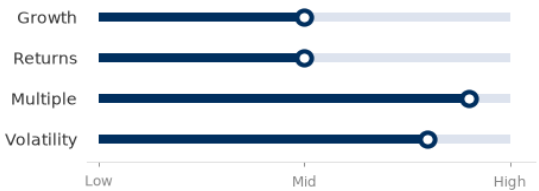
IS IT EXPENSIVE?

At \$332, you're paying about 138x next year's earnings — meaning investors are shelling out \$138 for every \$1 of profit Tesla is expected to make. For comparison, Ford and GM trade at ~7-8x. That premium ONLY makes sense if you believe robotaxi and Optimus (the humanoid robot) become real businesses; if Tesla is "just" a car company, this stock is worth maybe \$120. So the valuation isn't really about cars — it's a bet on Musk delivering on AI, and today's Autopilot headlines make that bet look shakier.

Key Data

Price (USD)	\$332.26
12M Price Target	\$360.00
Upside / (Downside)	+8.3%
Market Cap	\$1.31T
FY2026E Revenue	\$108,000M
FY2027E Revenue	\$132,000M
FY2026E EPS	\$2.40
FY2027E EPS	\$3.60
Fwd P/E	138.4x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$355.00	\$335.00	\$310.00
6 Months	\$420.00	\$360.00	\$280.00
1 Year	\$500.00	\$380.00	\$250.00
2 Years	\$650.00	\$420.00	\$220.00
5 Years	\$900.00	\$500.00	\$180.00
10 Years	\$1400.00	\$700.00	\$150.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Industrials (+1.0%), Materials, and Healthcare — money is rotating toward cyclicals and defensives, which suggests the market is getting cautious on high-multiple tech/growth. Industrials strength likely tied to infrastructure spending and reshoring policy tailwinds.

COOLING OFF: Technology is flat-to-weak (+0.15% today, -0.16% over 5 days) — the mega-cap AI trade is cooling as investors demand actual monetization proof, not just capex announcements. That's a headwind for TSLA's AI narrative.

ROTATION WATCH: Money is moving out of "story stocks" and into stuff with visible earnings — that's why TSLA is stuck at 17% of its range while boring industrials rip. Rotation reverses if we get a dovish Fed signal or a clear AI monetization catalyst.

RELATED PLAY: The Terafab chip bet means legacy US chipmakers (particularly Intel, GlobalFoundries) get incremental orders — that's a cleaner, cheaper way to play the same trend without single-stock Musk risk.

WHO'S WINNING IN THIS SPACE?

- GM (General Motors): Cheaper EV lineup + strong ICE truck cash flow, benefiting from the same tariff wall protecting Tesla but at 8x earnings instead of 138x.
- RIVN (Rivian): Been quietly rebuilding after cost cuts; benefits when EV sentiment stabilizes.

TSLA CONTEXT: TSLA is lagging its own peer group AND the broader market today given the news — up 0.4% on tiny volume is not real strength. It's telling you the marginal buyer isn't showing up until either the safety noise fades or robotaxi data improves.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: \$300-315 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Robotaxi rollout stalls OR NHTSA forces Autopilot/FSD design changes

Hedging: Long-dated puts or pair against a cheaper legacy automaker